Digital Personal Data Protection Act, 2023: Legislative Brief

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Summary

India’s first comprehensive data protection law gives individuals rights over their personal data and fines companies up to ₹250 crore per breach. Its core duties take effect in mid-May 2027. Three features weaken it as a check on power:

- The government can exempt its own agencies from the law.
- The Data Protection Board is appointed by, and reports to, the executive.
- The law amends the RTI Act to exempt all personal information from disclosure.

The Supreme Court is now hearing challenges to the last two. This brief recommends safeguards Parliament could add before the 2027 deadline.

Key Provisions and Rollout

Parliament passed the Act in August 2023. MeitY notified the DPDP Rules on 13–14 November 2025, which started an 18-month phased rollout.

Date	What takes effect
14 Nov 2025	Definitions; Data Protection Board set up and operational
Nov 2026	Registration of consent managers
Mid-May 2027	All core duties: notice and consent, security safeguards, breach reporting, children’s data, Significant Data Fiduciaries

The main obligations on companies and other bodies that process personal data (“data fiduciaries”):

- **Consent:** Process personal data only with clear, specific consent, or for listed “legitimate uses”.
- **Rights for individuals:** Access, correction, erasure and grievance redress.
- **Children:** Verifiable parental consent for anyone under 18.
- **Breaches:** Report them to the Board and inform affected individuals.
- **Penalties:** Up to ₹250 crore per instance, imposed by the Board.
- **Data transfers:** Data can go abroad except to countries the government blacklists.

Issues and Concerns

1. The RTI Act is weakened (Section 44(3)). Section 8(1)(j) of the RTI Act used to allow personal information to be released when it related to public activity or the larger public interest. The DPDP Act replaced that balancing test with a blanket exemption for all personal information. Transparency groups such as NCPRI argue this could block access to records on public officials and spending. In 2026, the Supreme Court issued notice on these challenges and referred them to a larger bench, though it declined to stay the Act.

2. The Board’s independence. Under Section 18, the Central Government appoints the Board’s chair and members on the advice of a selection committee it also constitutes, and the Board reports to MeitY. Critics question whether it can rule impartially in complaints against government agencies.

3. Government exemptions (Section 17). The Centre can exempt any state agency it notifies, for example on grounds of security or public order. The Act sets no requirement of necessity or proportionality and no independent review.

4. Government access to data (Rule 23). The government can demand information from companies. In national security cases, Rule 23(2) bars them from telling users their data was shared. This is also under challenge.

5. No compensation for individuals. Penalties go to the government. A person whose data is misused has no statutory right to compensation from the Board.

Comparison with the EU’s GDPR

India’s law is simpler and lighter for businesses than the GDPR. It is weaker on regulator independence and on remedies for individuals.

Feature	India (DPDP Act)	EU (GDPR)
Regulator	Board appointed by the Central Government	Independent supervisory authorities
State exemptions	Broad, by government notification	Narrower, must be necessary and proportionate
Maximum fine	₹250 crore per instance	€20 million or 4% of global turnover
Compensation to individuals	None	Right to compensation
Data portability	Not included	Included
Cross-border transfer	Allowed except to blacklisted countries	Allowed to countries with adequate protection or with safeguards

Recommendations

1. **Restore the public-interest test in RTI Section 8(1)(j).** Personal information should still be disclosable where it relates to public activity or the larger public interest outweighs privacy.
2. **Make the Board independent.** Its selection committee should include the Chief Justice of India or a nominee and the Leader of the Opposition. Members should have fixed tenure, and the Board should report to Parliament, not MeitY.
3. **Limit Section 17 exemptions.** Require every exemption to be written, time-bound, necessary and proportionate, laid before Parliament, and reviewed by an independent body.
4. **Add compensation.** Let the Board award compensation to individuals harmed by a breach.
5. **Publish an annual report.** The Board should table yearly data on complaints, penalties and government exemptions in Parliament.

Draft Parliamentary Questions

To be asked of the Minister of Electronics and Information Technology:

Q1 (Starred). Will the Minister be pleased to state: (a) the number of complaints received by the Data Protection Board since November 2025 and the number disposed of; (b) the number of RTI applications rejected under the amended Section 8(1)(j) since the DPDP Act came into force; and (c) whether the Government proposes to restore the public-interest test in that clause?

Q2 (Unstarred). Will the Minister be pleased to state: (a) the list of government agencies notified as exempt under Section 17 of the DPDP Act, with the grounds for each; and (b) whether such notifications are subject to any independent review?

Q3 (Unstarred). Will the Minister be pleased to state the steps taken to prepare small businesses and startups for compliance by May 2027?

Zero Hour Note (talking points)

Issue: The data protection law has quietly weakened the RTI Act.

Point to make: Section 44(3) of the DPDP Act exempts all personal information from RTI disclosure. That can shield records on public officials and public money, and citizens’ ability to hold government to account should not shrink in the name of privacy.

Ask: Restore the public-interest test in Section 8(1)(j) before the Act’s core duties take effect in May 2027.

Sources

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- Supreme Court refers RTI challenge to a larger bench, LiveLaw
- Supreme Court issues notice on DPDP pleas, Moneylife, May 2026
- Is the Data Protection Board independent?, LiveLaw, July 2026
- NCPRI concerns on the DPDP Bill, The Wire
- Zero Hour mention on Section 44(3), Lok Sabha Digital Library